ORDINANCE NO. 593

AN ORDINANCE AMENDING ORDINANCE NO. 586 REGARDING THE FRANCHISE FEE FOR CLAY COUNTY CONNECT, AND PRESCRIBING OTHER MATTERS RELATING THERETO, AND DECLARING AN EMERGENCY

WHEREAS, the City of Rector, Arkansas (the "City") submitted initial proposals for input and drafts of Franchise Fee to the President of Clay County Connect in and around December 2024, and

WHEREAS, in September 2025, legal counsel for Clay County Connect sent revisions for said Ordinance.

NOW, THEREFORE, BE IT ORDAINED by the City Council of the City of Rector, Arkansas:

Section 1.
That Section 4.1 (A) and (B) shall be amended to as follows:

Grantee shall pay to Franchising Authority a franchise fee equal to five percent (5%) of Gross Revenues from internet services.

Section 4.1(C), (D), and (E) shall remain as is.

All other portions shall remain the same.

Section 2.
That Section 5.1 shall be amended in the first sentence to state as follow:

Grantee agrees that Franchising Authority may review such of Grantee's books and records, during normal business hours and on a non- disruptive basis, as are reasonably necessary to monitor compliance with the terms hereof, but not more often than annually.

All other portions shall remain the same.

Section 3. That the provisions of this Ordinance are separable and if a section, phase or provision shall be declared invalid, such declaration shall not affect the validity of the remainder of the Ordinance.

Section 4. That all ordinance and resolution and parts thereof in conflict herewith are hereby repealed to the extent of such conflict.

EMERGENCY CLAUSE. An emergency is hereby declared to exist by the City Council of the City of Rector, Arkansas, and the passage of this Ordinance is necessary for the maintenance of the health, safety, and public peace of the citizens of Rector, for the

necessary recoup of costs of city easement cuts and expenses, and this Ordinance shall be in full force and shall take effect immediately upon passage and publication.

PASSED: SEPTEMBER 1 /2025.

APPROVED:

Mayor

ATTEST:

City Recorded

(SEAL)